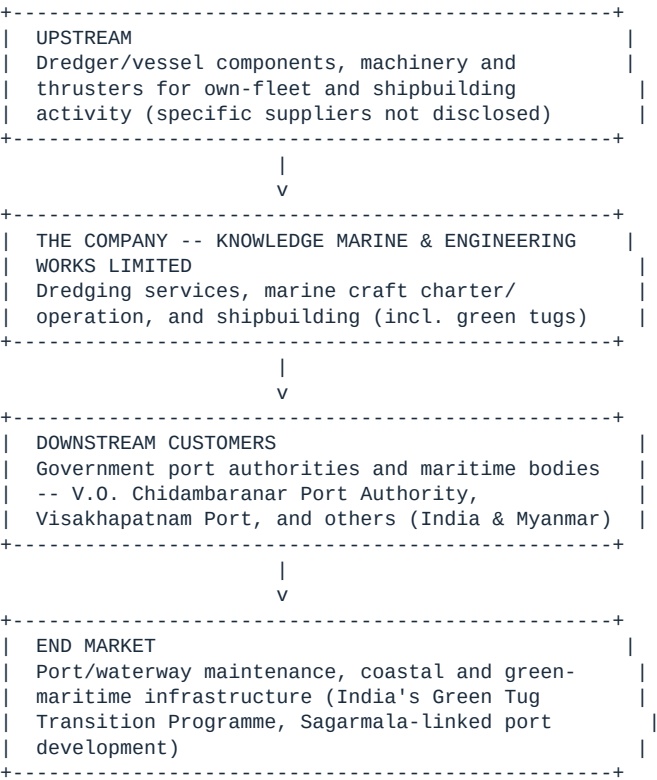


Knowledge Marine & Engineering Works Limited

Knowledge Marine & Engineering Works Limited provides dredging services and owns/operates marine craft, alongside repair, maintenance and refitting of marine crafts and marine infrastructure, operating in India and Myanmar. Incorporated in 2015, the company's fleet has grown from 3 dredgers and 5 port ancillary crafts (March 2021) to 12 dredgers (including 3 trailing suction hopper dredgers and 7 cutter suction dredgers) and 16 port ancillary crafts (March 2025). It is listed on the BSE and NSE. As of 10 July 2026 it had a market capitalization of approximately Rs. 5,935 crore (screener.in).

Value Chain Positioning

Knowledge Marine operates as an owner-operator across three related maritime verticals: dredging services (capital and maintenance dredging for ports/waterways), charter hire of marine craft (including a growing green-tug fleet), and shipbuilding (constructing vessels, increasingly at its own new Saphale shipyard). Its customers are predominantly government port authorities and maritime bodies — named counterparties include V.O. Chidambaranar Port Authority and Visakhapatnam Port. The company is entering shipbuilding for government-backed green-tug programmes, benefiting from Government of India shipbuilding subsidy support and a newly-approved Tonnage Tax Scheme.



Near Term (Next 1 to 2 Quarters)

- River Pearl 47 Utilization** [Pending]: Management expects a specific vessel (River Pearl 47) to run at more than 240 days of utilization per year. "We see utilization in excess of 240 days per year for River Pearl 47"
- Deferred Revenue Recognition Into Q1 FY27** [Pending]: Roughly Rs. 60cr of revenue that spilled over from Q4 FY26 is expected to be recognized in the first quarter of FY27. "See, this revenue of Rs. 60 crores will be recognized in Q1."

Medium Term (6 to 12 Months)

- **FY27 EBITDA Margin Guidance** [Pending]: Management guided EBITDA margins to remain in the 35-40% range for FY27, assuming continued Government of India shipbuilding subsidy inflow; without the subsidy, shipbuilding-specific margins would run 25-30%. "So our EBITDA margins will continue to remain between 35% to 40%."
- **Tonnage Tax Regime Now in Effect** [Pending]: The company's dredging/chartering income now falls under the newly-approved 10-year Tonnage Tax Scheme (effective from AY2026-27), while shipbuilding income remains under normal corporate tax — a structural change expected to keep the group's overall effective tax rate low. "chartering and dredging business, which will fall under the tonnage tax scheme... doing the shipbuilding activity will fall under corporate tax."

Long Term (1+ Years)

- **Green Tug Transition Programme Contracts** [Pending]: Two Green Tug contracts (V.O. Chidambaranar Port Authority and Visakhapatnam Port) worth a combined Rs. 650cr over a 15-year tenure will be built at the company's new Saphale shipyard, with construction starting post-monsoon 2026 and targeted completion roughly 9 months later. "We successfully secured two Green Tug contracts from V.O. Chidambaranar Port and Vishakhapatnam Port, aggregating to Rs. 650 crores in contract value with a 15-year tenure."
- **Order Book Execution Horizon** [Pending]: A substantial portion of the order book carries long-duration tenure (including the 15-year Green Tug contracts); the balance of the order book is expected to be executed over 2-3 years. "The balance order book is for execution between 2 to 3 years."
- **CARE Ratings' Medium-Term Revenue Growth Expectation** [On Track]: CARE Ratings (not the company directly) expects revenue to grow 15-20% p.a. over the medium term with PBILDT margin sustained above 35% — FY26's actual growth of +27% YoY already tracked ahead of the top end of this range. (Source: CARE Ratings rationale, 31 Jul 2025, reiterated 27 May 2026)

Marquee & Niche Customers

- **V.O. Chidambaranar Port Authority (VOCPA)**: Green Tug Transition Programme contract, part of the combined Rs. 650cr/15-year Green Tug award. (Source: Q4 FY26 concall, 22 May 2026)
- **Visakhapatnam Port**: Green Tug Transition Programme contract, part of the same combined award. (Source: Q4 FY26 concall, 22 May 2026)
- **Niche positioning**: the company describes itself as active in the "shallow draft and smaller vessels" dredging niche, distinct from larger players like the Dredging Corporation of India (DCI), which management says is not planning to compete directly in that space. (Source: Q3 FY26 concall, 25 Feb 2026)

No customer-concentration percentage was disclosed directly by the company, though CARE Ratings' rationale independently notes the top three orders account for 60% of the order book — a material concentration flagged as a rating constraint (see Key Risks). **Customers' own guidance**: these are government port authorities rather than commercial OEMs; no independently disclosed capacity/demand guidance from VOCPA or Visakhapatnam Port specifically was found in the sources reviewed, beyond the contract awards themselves.

Capex, Milestones & Certifications Timeline

Date/Quarter	Milestone	Status	Amount	Source
As of 31 Mar 2025	Fleet grown to 12 dredgers and 16 port ancillary crafts (from 3 dredgers/5 crafts in Mar 2021)	Achieved	—	CARE Ratings rationale, 31 Jul 2025
AY2026-27 onward (10-year scheme)	Tonnage Tax Scheme approved (Section 115VP(3))	Achieved	—	Company disclosure, 2026

Date/Quarter	Milestone	Status	Amount	Source
Recently (land acquired)	15 acres of land acquired near Saphale, Palghar district, for new shipyard (near upcoming Vadhvan Port)	Achieved	Not disclosed	Q4 FY26 concall, 22 May 2026
Post-monsoon 2026 → ~9 months later (mid-2027)	Green Tug construction (2 vessels, VOCPA + Visakhapatnam) at the new Saphale yard	Planned/in progress	Rs. 650cr (contract value)	Q4 FY26 concall, 22 May 2026
Next ~3 years	Debt-funded capex for new dredgers/port ancillary craft	Planned	Rs. 200-300cr	CARE Ratings rationale, 31 Jul 2025 / 27 May 2026

No specific certification standard with a certification date was found in the sources reviewed.

Financial Performance Summary

Fiscal Year	Revenue (Rs. cr)	YoY Growth	EBITDA Margin	PBT (Rs. cr)	PAT (Rs. cr)	PAT Margin
FY21	33	—	40%	9	7	21.2%
FY22	61	+84.8%	53%	28	21	34.4%
FY23	202	+231.1%	34%	63	48	23.8%
FY24	164	-18.8%	30%	41	31	18.9%
FY25	201	+22.6%	39%	62	50	24.9%
FY26	256	+27.4%	38%	79	79	30.9%

Source: screener.in consolidated results. Note FY26's PBT and PAT are nearly identical (Rs. 79cr each), reflecting the newly-effective Tonnage Tax Scheme's presumptive-income basis for qualifying dredging/chartering income, which produces an unusually low effective tax rate — this is a real, disclosed structural tax change (see Near/Medium Term outlook above), not a data inconsistency. FY24's revenue decline coincided with a lower-margin year between fleet expansion phases.

Segment-wise Performance

No formal historical revenue-by-segment (dredging vs. chartering vs. shipbuilding) breakdown was found in the sources reviewed. The closest available figures are **forward-looking mix targets, not historical splits**: management indicated shipbuilding is expected to be approximately 20% of current-year revenue (before ramping further as Green Tug and other shipbuilding contracts execute), with shipbuilding margins running 25-30% without Government of India subsidy or 35-40% including it — already captured in the Medium Term outlook above rather than duplicated as a table.

Order Book

As-of Date	Order Book / Bid Pipeline (Rs. cr)	Basis	Composition	Source
31 May 2025	>850 (order book, excl. L1 contracts)	Unexecuted order book, ~4x FY25 revenue	Not broken out	CARE Ratings rationale, 31 Jul 2025
31 Dec 2025	~1,500 (order book)	Unexecuted order book	Dredging Rs. 409cr, Charter hire Rs. 863cr (incl. Green Tug), Shipbuilding Rs. 230cr	Q3 FY26 concall, 25 Feb 2026

As-of Date	Order Book / Bid Pipeline (Rs. cr)	Basis	Composition	Source
~22 May 2026	~1,400 (order book)	Unexecuted order book	Not broken out on this call; shipbuilding order book separately noted at ~Rs. 400cr (see below)	Q4 FY26 concall, 22 May 2026
~22 May 2026	~2,000 (bid pipeline, distinct from order book)	All-domestic bid pipeline	Dredging ~Rs. 950cr, Shipbuilding ~Rs. 400cr, Green Tugs ~Rs. 600cr	Q4 FY26 concall, 22 May 2026

The order book fell modestly from ~Rs. 1,500cr (Dec 2025) to ~Rs. 1,400cr (May 2026) even as the company continued winning new work — consistent with strong execution/conversion during the quarter (order book is drawn down as revenue is recognized). The ~Rs. 2,000cr bid pipeline is a separate, forward-looking figure (bids submitted/being pursued, not yet won) and should not be added to the order book.

Manufacturing Locations & Physical Assets

The company's new shipyard is being developed on 15 acres of land near Saphale, Palghar district, Maharashtra, strategically located near the upcoming Vadhvan Port. This is the only specific physical-asset location disclosed in the sources reviewed; the company's broader fleet-based operations (dredgers and port ancillary craft) are not tied to a single fixed manufacturing location in the way a conventional factory-based business would be. No owned-vs-leased status or built-up area for the Saphale site was disclosed.

Capacity Utilization & Headroom

No fleet-wide utilization percentage was disclosed. Management gave a vessel-specific utilization expectation for one asset (River Pearl 47: >240 days/year, see Near Term outlook) but this was not generalized to the fleet as a whole. The planned Rs. 200-300cr capex for new dredgers/port ancillary craft (per CARE Ratings) implies capacity is being added ahead of or alongside order-book growth, but no explicit before/after utilization figures were given.

Total Addressable Market (TAM)

No specific TAM figure (market-size number) was disclosed in the sources reviewed. Management did reference a qualitative demand driver: government push toward Dredging Corporation of India (DCI)-adjacent capacity is described as reflecting "huge demand," with Knowledge Marine positioned in the shallow-draft/smaller-vessel niche that DCI does not plan to directly compete in — cited here as qualitative color, not a quantified market size.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	Rs. 301cr	FY26 actual revenue (Rs. 256cr) × CARE Ratings' 15-20% medium-term growth expectation (midpoint ~17.5%) — not a direct management guidance figure for a specific period
PAT margin used	30.9%	Assumed — trailing FY26 actual PAT margin, itself elevated by the new Tonnage Tax Scheme's low effective tax rate; management guided EBITDA margin (35-40%), not PAT margin, for FY27
Shares outstanding	2.4cr	Equity capital (Rs. 12cr) ÷ face value (Rs. 5)
Forward EPS	Rs. 38.70	Revenue guidance × margin ÷ shares
Price	Rs. 2,413	Current market price (screener.in, 10 Jul 2026)

Input	Value	Source/Basis
Forward PE	62.3x	Price ÷ Forward EPS

Forward PE of 62.3x is arithmetic built on a rating-agency (not management) growth expectation and a trailing-margin assumption that is itself elevated by a one-off-adjacent structural tax change — treat this figure with more caution than a report where management gave its own explicit forward revenue number.

Industry Tailwinds / Headwinds

Tailwinds

- **Government push toward green/coastal maritime infrastructure:** the Green Tug Transition Programme (Rs. 650cr of contracts already secured) reflects a broader government-backed push toward emission-reduction in port operations, a structural multi-year demand driver.
- **Government shipbuilding subsidy support:** directly cited by management as the swing factor between 25-30% and 35-40% EBITDA margins in the shipbuilding segment — a policy tailwind if sustained.
- **Niche positioning versus DCI:** management frames the shallow-draft/smaller-vessel dredging niche as underserved by the larger Dredging Corporation of India, which is investing in larger cutter-suction/water-injection dredgers instead — reducing direct competitive overlap in Knowledge Marine's core segment.

Headwinds

- **Aging core fleet:** CARE Ratings flags the trailing suction hopper dredger (TSHD) fleet's average age at over 50 years, entailing potential maintenance/replacement capex risk.
- **Order-book concentration:** top three orders account for 60% of the order book per CARE Ratings — a structural dependency on a small number of large, long-duration contracts.
- **Working-capital-intensive operations:** flagged by CARE as a rating constraint, characterized by high gross current asset days.

Technical Snapshot

(Conflicting data points across sources — see caveat below. As of approximately 10 July 2026 for price.)

- Current price: Rs. 2,413 (screener.in, 10 Jul 2026).
- A separate technicals source (dated to the same general period) shows 5-day MA Rs. 1,402, 50-day MA Rs. 1,476, 200-day MA Rs. 1,479, RSI ~33 (oversold-leaning), and a bearish MACD reading of -22.08 — all of which would imply a price well below where screener's Rs. 2,413 current price sits.
- **This is a material inconsistency between sources** (current price sitting far above cited moving averages, alongside an oversold RSI reading) — rather than reconcile it speculatively, both data points are shown as-is; treat this section as unreliable until cross-checked against a live quote at the time of use, more so than the standard "goes stale within days" caveat applied elsewhere in this report.

Promoter / Governance Track Record

Only one guidance-vs-actual-style item has enough history to assess so far (first research run for this company): FY26 revenue delivery, which came in above CARE's 15-20% medium-term growth expectation. There is not yet a multi-quarter track record to characterize a broader pattern.

Shareholding: Promoter shareholding stood at 53.63% as of March 2026 (screener.in), down from 67.09% in March 2023 — a decline of about 13.5 percentage points over three years. No share pledge was shown in the sources reviewed, and no explanation for the decline was found — stated without speculation on cause.

Promoter Fund Raises: No promoter/promoter-group preferential allotment, warrant issue, or promoter loan was found in the sources reviewed for this report.

Credit Rating Snapshot: CARE Ratings assigned a first-time rating of BBB+/Stable on 31 July 2025 (LT bank facilities Rs. 205.75cr, enhanced from Rs. 45cr) and reaffirmed BBB+/Stable on 27 May 2026 on revised facility amounts (LT bank facilities Rs. 172.25cr; LT/ST facilities Rs. 11.50cr; ST facilities Rs. 116.25cr). No downgrade or negative/watch-negative outlook is currently in force. Separately, screener.in's Documents tab also lists CRISIL rating updates (Oct 2024, Jul 2025, Aug 2025) that were not directly retrieved in this run — a gap worth closing on a future refresh, since a second agency's independent view was not incorporated here.

Legal & Litigation: No litigation, tax dispute, or regulatory/arbitration matter was found for Knowledge Marine in the sources reviewed for this report — this is stated as a gap in available sourcing rather than a confirmation that no such matters exist.

Key Risks

- **Order-book concentration:** CARE Ratings' own flag that the top three orders make up 60% of the order book means the loss, delay, or non-renewal of even one or two large contracts (including the 15-year Green Tug awards) would have an outsized impact.
- **Aging TSHD fleet:** an average trailing suction hopper dredger age of over 50 years (per CARE) implies latent maintenance/replacement capex risk not yet reflected in current capex guidance.
- **Working-capital intensity:** CARE-flagged high gross current asset days is a structural constraint on liquidity as the company scales.
- **Tax-regime dependency:** FY26's PAT margin (30.9%) is materially elevated by the new Tonnage Tax Scheme; this is a real, approved structural benefit but means historical PAT margins prior to the scheme are not a reliable base for projecting forward margins, and any future change to tonnage-tax eligibility or rules would be a direct earnings risk.
- **Execution risk on Green Tug/shipbuilding ramp:** shipbuilding is a newer capability for the company (constructing at its own yard for the first time at Saphale); cost or schedule overruns on the 15-year Green Tug contracts would affect both revenue timing and the blended margin profile.
- **Moderate scale and cyclicity:** CARE explicitly notes KMEWL's "moderate scale of operations" and dependence on the shipping/maritime industry's inherent cyclicity and regulatory risk.
- **Declining promoter holding:** down ~13.5 percentage points over three years (67.09% to 53.63%), with no disclosed explanation found in the sources reviewed.

Research summary of publicly available information only — the Q3 FY26 and Q4 FY26 concall transcripts, screener.in, CARE Ratings rationales, and third-party news/sector coverage as cited inline. Forward PE is arithmetic on an assumption, not a valuation call. This is not investment advice; consult a SEBI-registered investment advisor before making any financial decision.